

A Level Economics

H460/03 Themes in economics

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

Section A

Write your answer to each question in the box provided.

1 Which of these correctly describes the concept of marginal utility?

- A The additional satisfaction gained from consuming one more unit of a good
- B The total satisfaction gained from consumption
- C The cost of producing one additional unit of output
- D The price a consumer is willing to pay for a good

Your answer [] [1]

2 An economy has a marginal propensity to consume of 0.6, a marginal propensity to tax of 0.2 and a marginal propensity to import of 0.1. What is the value of the multiplier?

- A 1.43
- B 1.54
- C 2.00
- D 2.50

Your answer [] [1]

3 In a Keynesian liquidity trap:

- A Expansionary fiscal policy becomes ineffective
- B Interest rates are very high and savings rates low
- C Monetary policy becomes ineffective as households hold money rather than spend it
- D The velocity of circulation rises sharply

Your answer [] [1]

4 Which of the following would reduce the natural rate of unemployment in an economy?

- A An increase in out-of-work benefits
- B An increase in structural unemployment
- C An increase in trade union bargaining power
- D Increased spending on labour market retraining programmes

Your answer [] [1]

5 A good has a YED of +2.3. The economy enters a recession and real incomes fall by 5%. What is the likely change in the quantity demanded of the good?

- A A fall of 11.5%
- B A fall of 2.3%
- C A rise of 2.3%
- D A rise of 11.5%

Your answer [] [1]

6 A firm in a kinked demand curve model experiences an increase in marginal cost from MC_1 to MC_2 , but the new MC curve still passes through the vertical section of the MR curve. What happens to price and output?

- A Both increase
- B Both decrease
- C Price falls, output increases
- D Price and output remain unchanged

Your answer [] [1]

7 Which of the following is NOT a barrier to entry in a market?

- A Economies of scale enjoyed by incumbents
- B Patents held by existing firms
- C Strong brand loyalty
- D The existence of many substitute goods

Your answer [] [1]

8 Under the Cournot model of oligopoly, firms compete by choosing:

- A Advertising budgets
- B Output quantities simultaneously
- C Prices simultaneously
- D Whether to collude

Your answer [] [1]

9 A consumer's total utility from consuming 4 units of a good is 80 utils. Consuming a 5th unit reduces total utility to 78 utils. This suggests:

- A Diminishing marginal utility but positive total utility
- B Marginal utility is zero
- C Negative marginal utility
- D Rising marginal utility

Your answer [] [1]

10 A UK firm imports \$960,000 of goods when the exchange rate is £1 = \$1.60. The exchange rate then changes to £1 = \$1.20. All else equal, what is the change in the sterling cost of these imports?

- A Cost falls by £200,000
- B Cost falls by £400,000
- C Cost rises by £200,000
- D Cost rises by £400,000

Your answer [] [1]

11 A monopolist's total revenue is maximised when:

- A $AC = MC$
- B $MC = MR$
- C $MR = 0$
- D Price elasticity of demand is zero

Your answer [] [1]

12 X-inefficiency is most likely to occur in:

- A A contestable market
- B A market characterised by low barriers to entry
- C A monopoly protected by high barriers to entry
- D Perfect competition

Your answer [] [1]

13 In a monopsony labour market, compared with a competitive labour market, the monopsonist will pay:

- A A higher wage and employ more workers
- B A higher wage and employ fewer workers
- C A lower wage and employ fewer workers

D A lower wage and employ more workers

Your answer [] [1]

14 Using the Fisher equation $MV = PY$, if the money supply rises by 8%, velocity of circulation falls by 2% and real national income rises by 3%, what is the approximate rate of inflation?

- A 3%
- B 5%
- C 7%
- D 9%

Your answer [] [1]

15 Following a depreciation of the currency, the Marshall-Lerner condition states that the current account will improve if:

- A The sum of the price elasticities of demand for exports and imports is greater than one
- B The sum of the price elasticities of demand for exports and imports is less than one
- C The sum of the price elasticities of supply for exports and imports is greater than zero
- D The price elasticity of demand for exports alone is greater than one

Your answer [] [1]

16 A tax system where the average rate of tax falls as income rises is:

- A Ad valorem
- B Progressive
- C Proportional
- D Regressive

Your answer [] [1]

17 If country A has a Gini coefficient of 0.28 and country B has a Gini coefficient of 0.42, this suggests that:

- A Country A has higher absolute poverty than country B
- B Country A has higher GDP per capita than country B
- C Country A has a more equal distribution of income than country B
- D Country B has a more equal distribution of income than country A

Your answer [] [1]

18 A specific tax is imposed on a good with perfectly inelastic demand. Which of the following statements is correct?

- A Consumers bear all of the tax burden
- B Producers bear all of the tax burden
- C The tax burden is shared equally
- D There is a large deadweight loss

Your answer [] [1]

19 Which of the following best explains the paradox of thrift?

- A An increase in saving by all households simultaneously reduces aggregate demand and national income
- B Households save more when interest rates fall
- C Increased saving leads to higher investment and growth in the long run

D Saving always equals investment in equilibrium

Your answer [] [1]

20 Adverse selection in the market for used cars occurs because:

- A Buyers know more about cars than sellers, so sellers of good cars charge too little
- B Buyers take more risks once they have purchased insurance
- C Sellers of low-quality cars dominate the market as buyers cannot distinguish quality
- D There is a free-rider problem

Your answer [] [1]

21 A firm in perfect competition is producing at the minimum of its average cost curve. This firm is:

- A Allocatively efficient only
- B Both productively and allocatively efficient
- C Making supernormal profit
- D Productively efficient only

Your answer [] [1]

22 A firm successfully engages in third-degree price discrimination. The market with the more inelastic PED will face:

- A A higher price and a lower output proportion
- B A higher price and a higher output proportion
- C A lower price and a higher output proportion
- D A lower price and a lower output proportion

Your answer [] [1]

23 Country X removes all tariffs on imports from country Y but maintains tariffs on imports from country Z. Previously, country X imported these goods from country Z. This is an example of:

- A Absolute advantage
- B Comparative advantage
- C Trade creation
- D Trade diversion

Your answer [] [1]

24 Which of these would increase the money supply in an economy via the money multiplier?

- A An increase in the reserve ratio
- B An increase in the demand for cash by households
- C Quantitative tightening by the central bank
- D The central bank purchasing government bonds from commercial banks

Your answer [] [1]

25 A price ceiling is imposed below the free-market equilibrium price. The long-run impact is likely to include:

- A A fall in the number of firms supplying the market
- B An increase in producer surplus
- C Increased price stability
- D Reduced deadweight loss

Your answer [] [1]

26 Hit-and-run competition is a feature of:

- A A contestable market
- B A monopoly
- C A natural monopoly
- D Perfect competition

Your answer [1]

27 The IMF forecasts that a country will experience stagflation. This is most consistent with:

- A An inward shift of LRAS and an outward shift of AD
- B An inward shift of SRAS and an inward shift of AD
- C An outward shift of both AD and SRAS
- D An outward shift of LRAS and an inward shift of AD

Your answer [1]

28 Which is a limitation of using GNI per capita to compare living standards between countries?

- A It accounts for income distribution inequalities
- B It accounts for the informal economy
- C It does not account for differences in purchasing power between currencies
- D It measures the value of net exports only

Your answer [1]

29 According to the Kuznets curve hypothesis, as a country develops from low to middle income:

- A Income inequality first rises then falls
- B Income inequality rises continuously
- C Income inequality remains constant
- D Income inequality falls continuously

Your answer [1]

30 A rise in the UK's current account deficit, with all other components of the balance of payments unchanged, would be matched by:

- A A fall in financial account net inflows
- B A fall in official reserves
- C A rise in the financial account net inflows
- D A rise in the capital account net outflows

Your answer [1]

Section B

Read the extracts before answering the questions.

Extract 1

The UK Supermarket Sector

The UK grocery market was worth approximately £225 billion in 2023. The four largest chains — Tesco, Sainsbury's, Asda and Morrisons — together hold around 65% of the market, down from 76% a decade ago. The entry of German discounters Aldi and Lidl, which together now hold over 18% of the market, has significantly increased competition in the sector. Tesco alone accounts for a 27.3% share, making it the largest supermarket chain in the UK.

In 2022 and 2023, food price inflation in the UK exceeded general CPI inflation, peaking at 19.2% in March 2023 — the highest level since 1977. The Competition and Markets Authority (CMA) launched an investigation in 2023 to examine whether the big supermarkets were using their market power to widen profit margins during the cost-of-living crisis. The investigation concluded in July 2023 that there was no clear evidence of profiteering, but did identify weak price competition for some essential products.

The largest supermarkets engage heavily in non-price competition through loyalty schemes (such as Tesco Clubcard and Sainsbury's Nectar), price-matching guarantees against Aldi and Lidl, and significant advertising expenditure — Tesco alone spent £78 million on advertising in 2022. Price wars have, at times, led to allegations of predatory pricing on branded goods. The Groceries Supply Code of Practice (GSCOP), overseen by the Groceries Code Adjudicator (GCA), regulates the relationship between supermarkets and their suppliers.

Tesco's operating profit was £2.63 billion in 2022/23, a margin of 3.8%. By comparison, Aldi UK reported an operating loss of £75.9 million in 2022, despite strong sales growth of 16%, as the firm absorbed higher input costs rather than passing them on to consumers.

Fig. 1.1

UK grocery market shares (%) and concentration ratios

Firm / Measure	Market share 2013 (%)	Market share 2023 (%)
Tesco	29.9	27.3
Sainsbury's	16.8	14.8
Asda	17.1	13.7
Morrisons	11.3	9.0
Aldi	4.1	10.1
Lidl	3.5	7.7
Others	17.3	17.4

31 Using the data in Fig. 1.1, calculate the three-firm concentration ratio for the UK grocery market in 2023. **[2]**

32 Explain, using the information in Extract 1, one reason why the four largest UK supermarkets may engage in non-price competition rather than price competition. **[3]**

33* Evaluate, using an appropriate diagram and the information in Extract 1, the likely consequences for consumers of the oligopolistic structure of the UK supermarket sector. **[15]**

Extract 2

UK Fiscal Policy and Government Debt

The UK national debt reached £2,650 billion by the end of 2023 — equivalent to approximately 98% of GDP, the highest ratio since the early 1960s. The budget deficit averaged 5.2% of GDP between 2020 and 2023, reflecting the fiscal cost of COVID-19 support schemes (such as furlough, which cost £70 billion), the Energy Price Guarantee (which cost around £40 billion) and subsequent tax cuts announced in the autumn 2022 'mini-budget'.

The 'mini-budget' of September 2022, which included £45 billion of unfunded tax cuts, triggered a sharp rise in UK government bond yields. The yield on the 30-year gilt rose from 3.6% to over 5% in a matter of days. This forced the Bank of England to intervene with emergency bond purchases to protect pension funds and stabilise the market, and ultimately led to the resignation of the Chancellor and Prime Minister.

In 2023, debt interest payments cost the UK government £89 billion — more than the entire annual budget for education (£84 billion) and more than twice the defence budget (£52 billion). The rise in interest rates has made servicing the debt significantly more expensive: a 1 percentage point rise in gilt yields adds approximately £20 billion to annual debt servicing costs over time.

The Office for Budget Responsibility (OBR) warned in its 2023 Fiscal Risks Report that the UK's fiscal position is 'increasingly vulnerable'. The Chancellor's self-imposed fiscal rules require debt as a share of GDP to be falling in five years' time. Some economists argue that higher taxes or spending cuts are needed to stabilise the public finances, while others argue that higher growth — driven by investment in productivity-enhancing infrastructure — is the only sustainable route.

Fig. 2.1

UK budget deficit, national debt and debt interest payments, 2019–2023

Year	Budget deficit (% of GDP)	National debt (% of GDP)	Debt interest (£ billion)
2019	2.3	82	48
2020	14.4	96	39
2021	7.9	95	66
2022	4.5	97	111
2023	4.4	98	89

34 Using the data in Fig. 2.1, compare the change in the UK budget deficit with the change in debt interest payments between 2019 and 2023. **[3]**

35 Using the information in Extract 2, identify two potential economic consequences of rising UK government bond yields. **[2]**

36* Evaluate, using the information in Extract 2, the view that the UK government should raise taxes or cut spending to reduce the national debt. **[15]**

Extract 3

The Gig Economy and Labour Markets

The UK gig economy has grown rapidly in the past decade. By 2023, an estimated 4.4 million workers — around 13% of the working-age population — had earned money through gig platforms in the preceding year, up from 3.6 million in 2019. Platforms such as Deliveroo, Uber and Amazon Flex classify most of their workers as 'independent contractors' rather than employees, meaning they do not receive sick pay, paid holiday, or employer pension contributions.

Supporters argue that the gig economy provides flexibility for workers and lower prices for consumers. Critics argue that it shifts risk from firms onto workers and contributes to in-work poverty. Research by the University of Oxford in 2023 found that the median hourly earnings of UK gig workers were £11.80 per hour before costs, but only £8.20 per hour after costs such as vehicle maintenance and fuel — below the National Living Wage of £10.42 at the time.

In 2021, the Supreme Court ruled in *Uber BV v Aslam* that Uber drivers should be classified as 'workers' (an intermediate category) and therefore entitled to minimum wage and paid holiday. However, subsequent rulings have left the classification of workers on many other platforms unclear. The Low Pay Commission estimates that around 40% of gig workers earn below the National Living Wage when all hours waiting for jobs are included.

Trade union membership among gig workers remains low at around 5%, compared with 22% of UK workers overall. The Independent Workers' Union of Great Britain (IWGB) has attempted to organise gig workers but faces challenges because workers are geographically dispersed and often work for multiple platforms simultaneously. Meanwhile, the supply of labour to gig platforms remains high, partly because entry requires few qualifications — typically a smartphone, a vehicle, and a right to work in the UK.

Fig. 3.1

Share of workers by type and median hourly earnings (£), UK 2023

Worker type	Share of workers (%)	Median hourly earnings (£)
Full-time employee	64	15.80
Part-time employee	22	11.90
Self-employed (non-gig)	9	14.60
Gig worker (after costs)	5	8.20

37 Using Fig. 3.1, compare the median hourly earnings of gig workers and full-time employees in the UK in 2023. [2]

38 Evaluate, using the information in Extract 3, whether government intervention is necessary to protect the wages and working conditions of gig economy workers. **[8]**
